

Problem Set 8 – The AA Schedule and the AA/DD model

1) Suppose there is a decrease in the U.S. money supply.

i) Demonstrate the impact of this decrease in MS on the asset model (i.e., the money market and foreign exchange market graph).

ii) Explain how this decrease in MS will shift the AA schedule (UP, DOWN or NO SHIFT). Your explanation should involve the money market (i.e., effect on interest rates) and/or the foreign exchange market (i.e., effect on exchange rates).

iii) Using your AA-DD model, explain how this decrease in the U.S. money supply will effect U.S. real income (Y) in the short-run.

2) For each of the following

(i) Draw the AA-DD model for Japan [placing the correctly labeled exchange rate ($E_{¥/\$}$ or $E_{\$/¥}$) on the vertical axis and Japanese output (Y_J) on the other axis].

(ii) Show how the shock effects the AA-DD curves and explain how it effects the exchange rate of the Japanese yen (appreciation or depreciation) and how it effects Japanese output (increase or decrease). This is short-run and temporary so you can hold prices and future expectation constant (unless I tell you otherwise).

(iii) If you shifted either the AA or DD curve (or BOTH!) explain why. Your explanation for the DD curve shift should involve the goods market and the definition that

$$D = C(Y-T) + I + G + CA(EP^*/P, Y-T)$$

Your explanation for the AA curve shift should involve the money market (i.e., effect on interest rates) and/or the foreign exchange market (i.e., effect on exchange rates).

- a) An exogenous increase in investment spending by Japanese firms.
- b) Foreign sanctions reduce the propensity for foreign residents to purchase Japanese goods.
- c) An exogenous increase in Japanese real money demand
- d) An increase in **U.S.** interest rates
- e) Japanese consumers decide they want to consume less and save more (this one could be tricky! Just explain clearly what you are thinking.)